

INDIAN ECONOMY

**LEVEL
II**



LECTURES

- GDP BY INCOME & EXPENDITURE METHODS
- CONSTRAINTS IN GDP CALCULATION
- HOW DO YOU DEFINE DEVELOPMENT?

MODULE - 17



THREE WAYS OF MEASURING GDP GROWTH

1 VALUE ADDED METHOD

Value added = value of production - value of intermediate goods

These represent supply side.



2 EXPENDITURE METHOD

$$GDP = C + I + G + (X - M)$$

- C ... Household spending on goods and services
- I ... Capital Investment spending
- G ... Government spending
- X ... Exports of Goods and Services
- M ... Imports of Goods and Services

These reflect essentially on the demand conditions in the economy.

3 INCOME METHOD

Income from people in jobs and in self-employment (e.g. wages and salaries)

+

Profits of private sector businesses

+

Rent income from the ownership of land

In India, it is not being followed.

THREE WAYS OF MEASURING GDP GROWTH

2

EXPENDITURE METHOD



$$\text{GDP} = C + I + G + (X - M)$$

- **C** ... Household spending on goods and services i.e., Private Final Consumption Expenditure (**PFCE**)
- **I** ... Capital Investment spending i.e., Gross Private Domestic Investment (**GPDI**)
- **G** ... Government spending i.e., Government Final Consumption Expenditure (**GFCE**)
- **X - M** ... net difference between the value of exports and imports of goods and services.

These reflect essentially the demand conditions in the economy.

3

INCOME METHOD



In India, it is not being followed and hence not discussed in detail.

- It approaches national income from the distribution side.
- Here, the national income is calculated by adding up all the incomes generated in the course of producing national product.
- National Income = $W + R + I + \pi + (R - P)$.
 - W = Wages
 - R = Rent
 - I = Interest
 - π = Profits
 - R = Exports
 - P = Imports.
- Imputed value of rent for self occupied houses/offices and imputed value of services provided by the owners of production units (family labor) are to be included.

WHAT ARE THE CONSTRAINTS IN MEASURING GDP IN INDIA

EXPECTED
MARGIN OF
ERROR IS
AROUND 10%!

1 Existence of a large, unorganized and non-monetized subsistence sector, where the barter system still prevails for transacting goods and services.

2 Higher degree of judgment is required to assess the depreciation allowance.

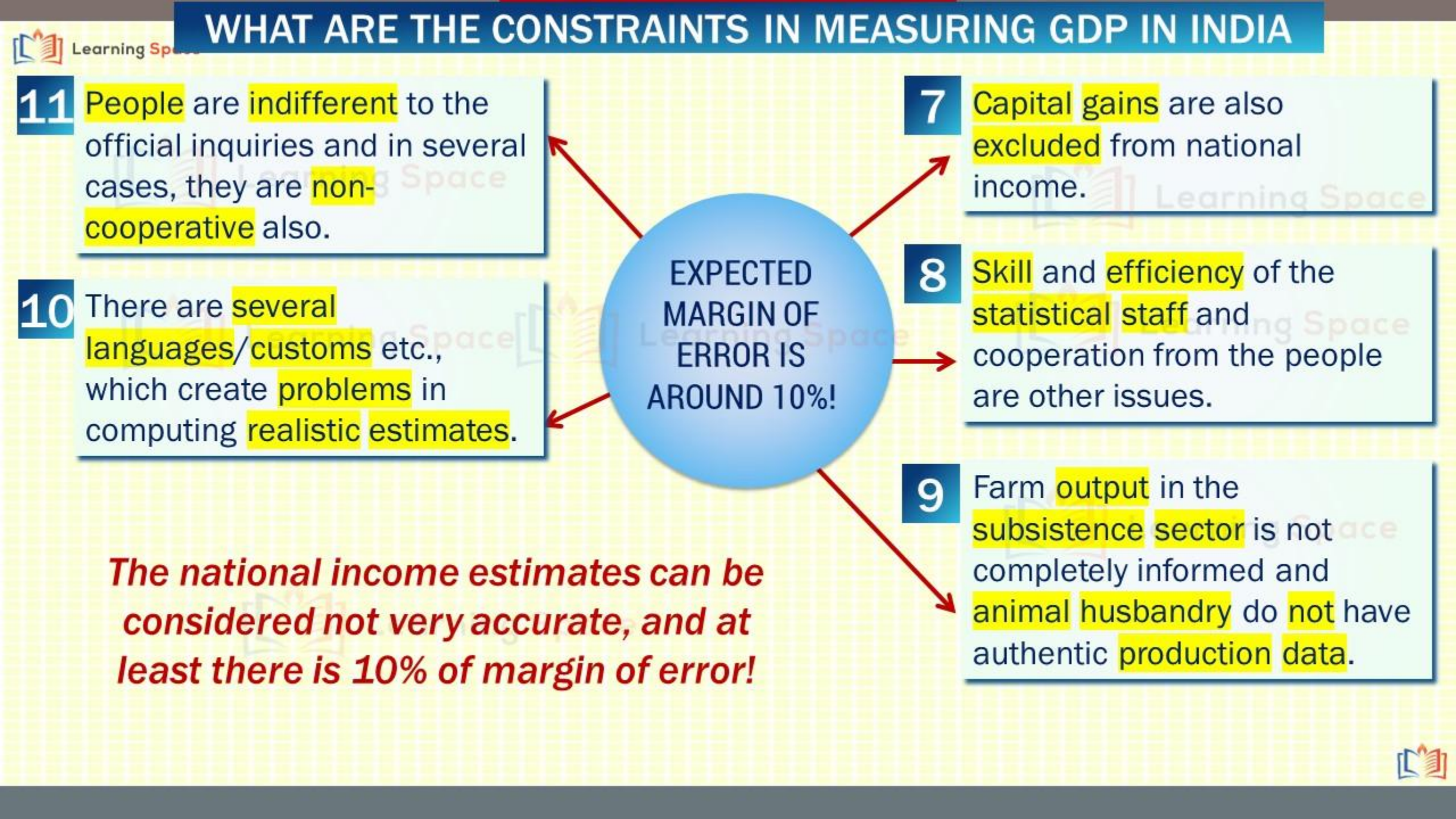
3 Transfer payments, in the form of pensions/unemployment allowances are Government expenditures, but does not include in the national income.

6 Income earned through illegal activities like gambling, smuggling, illicit extraction of liquor etc., are not part of national income.

5 Arriving at the national income by product method is difficult because of lack of price stability.

4 Activities undertaken by the housewife in the house for which there is no monetization. Such services performed by the paid servants are included in the national income.





THREE GOALS OF DEVELOPMENT

1 HAPPINESS ... EMPOWERMENT



MEANS ... NOT AN END!

It means that the ways to achieve a goal is more important and not really the actual goal!

1 Happiness is directly related to empowerment, it is related to being educated and experiencing good health.

2 We face an education system, that is broken down and majority are battling with almost non-existent public health infrastructure.

3 The first attribute of the valuable economy would be access to quality health and education for all.

THREE GOALS OF DEVELOPMENT

2

EQUALITY OF OPPORTUNITY



- 1 For over three decades, income inequalities have been rising in India.
- 2 India today is more unequal than China.
- 3 Some part of inequality of opportunity is related to unequal distribution of income.
- 4 Other important element is Gender Inequality, with women having lesser opportunities.

Inequality can only be ended by equalising capabilities across individuals.

THREE GOALS OF DEVELOPMENT

3 PRESERVING NATURAL CAPITAL



Any improvement in the life of the majority would require a re-alignment of the growth process so that it is less damaging.

- 1 More than half of the World's most polluted cities are in India.
- 2 Air pollution shortens the lives and lowers productivity.
- 3 The poor are the most affected as they cannot afford to live in gated communities.
- 4 Environmental Depletion is due to the pursuit of unbridled growth.

GDP IS A MEANS AND NOT AN END!

- 1** A useful means is when it creates jobs or raises wages or increases the Government budget, so it can redistribute more.
- 2** The ultimate goal of GDP is, raising the quality of life of the average person and especially the worst-off person.
- 3** The quality of life means more than just consumption.
- 4** The poor will be more likely to hop onto the growth locomotive, if they are in decent health, can read and write, and can think beyond their immediate circumstances.
- 5** It is not a surprise that many of the winners of globalisation were ex-communist countries that had invested heavily in the human capital of their populations in the communist years (China, Vietnam) or countries threatened with communism, that had pursued similar policies for that reason (Taiwan, South Korea).



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299